



Figure 76.3 Price fails to rise far enough to reach its target.

Let's look at some performance statistics to see how the Wolfe wave behaves.

Statistics

Table 76.2 shows general statistics.

Number found. I found 6,251 patterns in 1,230 stocks using data stretching from January 1990 to June 2019. Not all stocks covered the entire time, and some no longer trade.

Average rise. The average rise measures from the low at point 5 to the ultimate high, which is the highest high before price tumbles more than 20% or closes below the bottom of the pattern.

If you traded the Wolfe wave perfectly and did it often enough, you'd make 35% in bull markets and slightly less than that in bear markets. Of course, you *won't* trade it perfectly, especially not over 5,000 times, so expect variations.

As the table shows, if you exit at the EPA line, you will fall well short of the results from a perfect trade. However, this (average rise to EPA) does